

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 31ST MARCH 2025

I STATEMENT OF FINANCIAL POSITION AS AT	Bank		31st Mar 2025	Group		31st Mar 2025
	31st Mar 2024	31st Dec 2024		31st Mar 2024	31st Dec 2024	
	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)
A. ASSETS						
1 Cash balances (both local and foreign)	332,693	678,473	385,825	332,693	678,473	385,825
2 Balances due from Central Bank of Kenya	2,320,513	1,713,215	2,509,181	2,320,513	1,713,215	2,509,181
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5 Investment Securities:						
a) Held to Maturity:	3,247,859	3,228,300	3,054,316	3,247,859	3,228,300	3,054,316
a. Kenya Government securities	3,247,859	3,228,300	3,054,316	3,247,859	3,228,300	3,054,316
b. Other securities	-	-	-	-	-	-
b) Available for sale:	6,847,803	13,741,761	17,355,960	6,847,803	13,741,761	17,355,960
a. Kenya Government securities	6,847,803	13,741,761	17,355,960	6,847,803	13,741,761	17,355,960
b. Other securities	-	-	-	-	-	-
6 Deposits and balances due from local banking institutions	1,321,741	1,144,163	193,218	1,321,741	1,144,163	193,218
7 Deposits and balances due from banking institutions abroad	138,452	109,136	390,060	138,452	109,136	390,060
8 Tax recoverable	229,621	219,346	215,964	365,557	372,751	358,122
9 Loans and advances to customers (net)	38,128,098	39,797,555	39,787,117	38,128,098	38,861,015	38,874,411
10 Balances due from banking institutions in the group	-	-	-	-	-	-
11 Investments in associates	-	-	-	-	-	-
12 Investments in subsidiary companies	-	-	-	-	-	-
13 Investment in Joint ventures	189,558	190,970	190,970	1,703,133	1,668,362	1,712,330
14 Investment properties	810,000	810,000	810,000	1,885,000	1,905,000	1,905,000
15 Property and equipment	770,035	837,782	833,922	793,865	872,546	876,149
16 Prepaid operating lease rentals	-	-	-	-	-	-
17 Intangible assets	304,707	307,996	306,345	305,198	316,318	314,340
18 Deferred tax asset	1,541,134	1,404,816	1,315,887	1,772,798	1,654,454	1,547,088
19 Retirement benefit asset	-	-	-	-	-	-
20 Other assets	3,628,616	3,377,214	3,402,301	3,121,662	3,882,288	3,927,582
21 TOTAL ASSETS	59,810,830	67,560,727	70,751,066	62,284,372	70,147,782	73,403,582
B. LIABILITIES						
22 Balances due to Central Bank of Kenya	2,815,463	-	-	2,815,463	-	-
23 Customer deposits	43,876,573	47,883,285	50,266,739	43,757,527	47,470,795	50,112,002
24 Deposits and balances due to local banking institutions	395,250	388,105	919,529	395,250	388,105	919,529
25 Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
26 Other money market deposits	-	-	-	-	-	-
27 Borrowed funds	3,388,480	2,743,820	2,627,274	3,388,480	2,743,820	2,627,274
28 Balances due to banking institutions in the group	-	-	-	-	-	-
29 Tax payable	-	-	-	-	-	-
30 Dividends payable	-	-	-	246	246	246
31 Deferred tax liability	-	-	-	486	903	903
32 Retirement benefit liability	-	-	-	-	-	-
33 Other liabilities	1,000,394	1,751,033	1,693,262	2,924,265	3,862,246	3,577,041
34 TOTAL LIABILITIES	51,476,160	52,766,243	55,506,806	53,281,719	54,466,115	57,236,994
C. SHAREHOLDERS' FUNDS						
35 Paid up /Assigned capital	5,090,000	10,820,000	10,820,000	1,923,071	9,427,440	9,427,440
36 Share premium/(discount)	3,513,662	3,513,662	3,513,662	4,343,512	2,649,338	2,649,338
37 Revaluation reserves	610,666	610,666	610,666	1,312,129	1,312,129	1,312,129
38 Retained earnings/Accumulated losses	(5,502,565)	(5,115,436)	(4,910,781)	(3,217,971)	(2,691,839)	(2,452,041)
39 Statutory loan loss reserves	4,960,310	4,808,520	4,846,140	4,960,310	4,808,520	4,846,140
40 Other Reserves	(337,403)	157,072	364,573	(318,397)	176,079	383,581
41 Proposed dividends	-	-	-	-	-	-
42 Capital grants	-	-	-	-	-	-
43 TOTAL SHAREHOLDERS' FUNDS	8,334,670	14,794,484	15,244,260	9,002,654	15,681,667	16,166,587
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	59,810,830	67,560,727	70,751,066	62,284,372	70,147,782	73,403,582
II STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED	31st Mar 2024	31st Dec 2024	31st Mar 2025	31st Mar 2024	31st Dec 2024	31st Mar 2025
	UnAudited	Audited	UnAudited	UnAudited	Audited	UnAudited
	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1 INTEREST INCOME						
1.1 Loans and advances	1,166,542	4,819,076	1,230,819	1,161,213	4,765,730	1,187,528
1.2 Government securities	317,942	1,583,102	595,966	317,942	1,583,102	595,966
1.3 Deposits and placements with banking institutions	31,631	57,775	11,108	34,349	57,775	11,108
1.4 Other Interest Income	-	-	-	-	-	-
1.5 Total interest income	1,516,115	6,459,953	1,837,893	1,513,504	6,406,607	1,794,602
2 INTEREST EXPENSES						
2.1 Customer deposits	656,686	2,944,189	701,093	655,252	2,937,070	699,033
2.2 Deposits and placement from banking institutions	89,738	447,643	31,221	89,738	447,643	31,221
2.3 Other interest expenses	91,118	359,150	74,546	91,187	359,359	74,598
2.4 Total interest expenses	837,542	3,750,982	806,860	836,177	3,744,072	804,852
3 NET INTEREST INCOME/(LOSS)	678,573	2,708,971	1,031,033	677,327	2,662,535	989,750
4 OTHER OPERATING INCOME						
4.1 Fees and commissions on loans and advances	59,091	217,999	51,379	59,091	217,999	51,379
4.2 Other fees and commissions	45,866	214,648	66,933	62,235	346,167	94,275
4.3 Foreign exchange trading income/(Loss)	48,127	191,127	34,521	48,127	191,127	34,521
4.4 Dividend Income	-	-	-	-	-	-
4.5 Other income	25,520	122,189	46,071	217,128	751,467	244,779
4.6 Total Non-interest income	178,604	745,963	198,904	386,581	1,506,760	424,954
5 TOTAL OPERATING INCOME	857,177	3,454,934	1,229,937	1,063,908	4,169,295	1,414,704
6 OPERATING EXPENSES						
6.1 Loan loss provision	109,086	364,460	100,430	109,086	364,460	100,430
6.2 Staff costs	384,787	1,643,508	449,877	437,212	1,894,275	511,220
6.3 Directors' emoluments	4,510	24,012	7,800	8,775	42,851	11,514
6.4 Rental charges	15,735	61,776	13,882	16,292	61,776	13,882
6.5 Depreciation charge on property and equipment	38,591	157,405	36,989	39,268	161,748	38,951
6.6 Amortisation charges	22,370	76,617	15,109	22,412	76,771	15,147
6.7 Other operating expenses	232,843	914,172	360,059	272,195	1,130,664	387,044
6.8 Total Other Operating Expenses	807,922	3,241,950	984,146	905,240	3,732,545	1,078,188
7 Profit/(loss) before tax and exceptional items	49,255	212,984	245,791	158,668	436,750	336,516
8 Exceptional items	-	1,412	-	-	23,243	-
9 Profit/(loss) after exceptional items	49,255	214,396	245,791	158,668	459,993	336,516
10 Current tax	(3,391)	(11,820)	(3,514)	(8,325)	(31,955)	(8,581)
11 Deferred tax	-	78,627	-	-	96,647	-
12 Profit/(loss) after tax and exceptional items	45,864	281,203	242,277	150,343	524,685	327,935
13 Other Comprehensive Income						
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets	(20,114)	687,796	296,429	(20,114)	687,796	296,429
13.3 Revaluation surplus on Property,plant and equipment	-	-	-	-	-	-
13.4 Share of other comprehensive income of associates	-	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	6,034	(206,339)	(88,929)	6,034	(206,339)	(88,929)
14 Other Comprehensive Income for the year net of tax	(14,080)	481,457	207,500	(14,080)	481,457	207,500
15 Total comprehensive income for the year	31,785	762,660	449,777	136,263	1,006,143	535,435
Earnings Per Share	0.04	0.03	0.09	1.31	0.06	0.14
III OTHER DISCLOSURES AS AT	31st Mar 2024	31st Dec 2024	31st Mar 2025	31st Mar 2024	31st Dec 2024	31st Mar 2025
	UnAudited	Audited	UnAudited	UnAudited	Audited	UnAudited
	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1 Non-Performing Loans and Advances						
a) Gross non-performing loans and advances	11,200,531	11,964,475	11,960,905	11,200,531	11,964,475	11,960,905
b) Less: Interest in Suspense	3,418,361	3,251,592	3,341,075	3,418,361	3,251,592	3,341,075
c) Total non-Performing loans and advances (a-b)	7,782,169	8,712,883	8,619,830	7,782,169	8,712,883	8,619,830
d) Less: Loan loss provisions	4,918,613	5,155,716	5,283,010	4,918,613	5,155,716	5,283,010
e) Net non-performing loans and advances(c-d)	2,863,557	3,557,167	3,336,820	2,863,557	3,557,167	3,336,820
f) Discounted value of securities	2,863,557	3,557,167	3,336,820	2,863,557	3,557,167	3,336,820
g) Net Exposure(e-f)	-	-	-	-	-	-
2 Insider loans and advances						
a) Directors, shareholders and associates	1,005,291	1,029,924	1,005,390	1,005,291	1,029,924	1,005,390
b) Employees	1,257,303	1,395,058	1,443,101	1,257,303	1,395,058	1,443,101
c) Total insider Loans and Advances	2,262,594	2,424,982	2,448,491	2,262,594	2,424,982	2,448,491
3 Off-Balance Sheet items						
a) Letters of credit, guarantees and acceptances	2,224,325	702,528	1,125,191	2,224,325	702,528	1,125,191
b) Forwards, swaps and options	440,811	989,271	1,268,021	440,811	989,271	1,268,021
c) Other contingent liabilities	-	-	-	-	-	-
c) Total contingent liabilities	2,665,135	1,691,799	2,393,212	2,665,135	1,691,799	2,393,212
4 Capital Strength						
a) Core capital	1,989,487	8,667,269	8,827,102			
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000			
c) Excess/Deficiency	989,487	7,667,269	7,827,102			
d) Supplementary capital	1,401,557	1,278,755	1,239,392			
e) Total capital (a+d)	3,391,044	9,946,024	10,066,494			
f) Total risk weighted assets	38,331,192	40,507,073	41,358,010			
g) Core capital /Total deposit liabilities	4.5%	18.1%	17.6%			
h) Minimum Statutory Ratio	8.0%	8.0%	8.0%			
i) Excess/Deficiency	-3.5%	10.1%	9.6%			
j) Core capital /Total risk weighted assets	5.2%	21.4%	21.3%			
k) Minimum Statutory Ratio	10.5%	10.5%	10.5%			
l) Excess/Deficiency (j-k)	-5.3%	10.9%	10.8%			
m) Total capital /Total risk weighted assets	8.8%	24.6%	24.3%			
n) Minimum Statutory Ratio	14.5%	14.5%	14.5%			
o) Excess/Deficiency (m-n)	-5.7%	10.1%	9.8%			
5 Liquidity						
a) Liquidity Ratio	24.9%	41.8%	45.1%			
b) Minimum Statutory Ratio	20.0%	20.0%	20.0%			
c) Excess(Deficiency) (a-b)	4.9%	21.8%	25.1%			
*Notes						
These financial statements are extracts from the books of the institution. The complete set of UnAudited Financial Statements can be accessed on the institutions website www.hfgroup.co.ke						
They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi						
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